

Employees Going Rogue

IP Theft in the Gen AI Era

Presented by Mark Clews, Managing Director, Digital Forensics & eDiscovery, iDiscovery Solutions (iDS) In Partnership with Today's General Counsel

EXECUTIVE SUMMARY

For twenty years, the departing-employee investigation had a settled shape. Check the USB history, the personal email, the cloud sync. If nothing moved, nothing was taken.

Generative AI broke the assumption underneath that checklist: that stealing information means copying a file. Pasted into an AI tool and restated, intellectual property leaves with no moved file and no matching hash, and the traditional investigation returns a clean report on a theft it was never built to see. What leaves is not the files. It is the knowledge.

Mark Clews has spent more than twenty years in digital forensics and eDiscovery, thousands of investigations behind him, many involving trade secrets and IP theft, with matters before the SEC, DOJ, FTC, FINRA, and CFPB. This session applies that experience to the shift: where Gen AI evidence lives, what an in-app deletion does and does not erase, and what to preserve in the first 48 hours after a resignation, walked through a fictional investigation built from the artifact patterns investigators are encountering now.

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The Central Premise

Gen AI adds a layer to the investigation. It does not replace the traditional one. Removable media, personal email, cloud syncs, and device artifacts still get examined. But the newest exfiltration path produces none of those traces, because the mechanism is different. A prompt goes in. Content comes back. The same question asked twice returns two different answers. The output is composed, not copied, and no hash value will ever match it.

That changes what investigators look for. The prompts become the evidence: what was asked, what came back, and when. That evidence does not live in one place. It sits on the AI platform's servers, on the custodian's devices, and in the organization's own audit logs. Each has its own retention clock. None tells the complete story alone.

The moment has a precedent. Gen AI evidence today is roughly where email evidence was in the 1990s: cases arriving faster than case law. The session's reference points run from the first major email trial in 1998, through a 2024 matter where both prompts and AI responses were admitted, to current investigations where what a person asked a chatbot became central evidence. The pattern across all of them is the same. People converse with these tools the way they talk with a friend, and the record reflects it. Email taught professionals to watch what they wrote. Chatbots are teaching everyone else the same lesson.

The Case Study

The Investigation That Closed Clean, And Should Not Have

The fictional scenario, built for the session: Meridian Coatings, a specialty industrial coatings maker of roughly 900 employees, running a Microsoft 365 E5 tenant, with Claude Team deployed to R&D and the Microsoft 365 connector enabled. Dana Reyes, Senior Director of Product Development, eleven years with the company, resigns on February 20 after January contact from a recruiter for Calvert Surface Technologies, a direct competitor. On March 22, a customer mentions that Calvert is pitching a near-identical formulation. IT investigates the traditional way: USB activity, cloud repositories, email to personal accounts. Nothing. By the old checklist, the matter is closed.

The Gen AI layer told a different story, assembled from four evidence sources.

The Vendor Export

The organization's export, requested 32 days after the departure, contained the conversations, users, and projects as JSON files: prompts and responses, timestamps, models used, attachment metadata. It is the starting point, and it is incomplete by design. It cannot show conversations deleted before it was run. It does not contain the files themselves. It cannot see a personal account outside the tenant. And tier matters: recovery windows for deleted chats exist at the enterprise level that the Team tier does not offer, so the deletion window had already closed. The discipline: request the export first, then assume it is incomplete, and prove where.



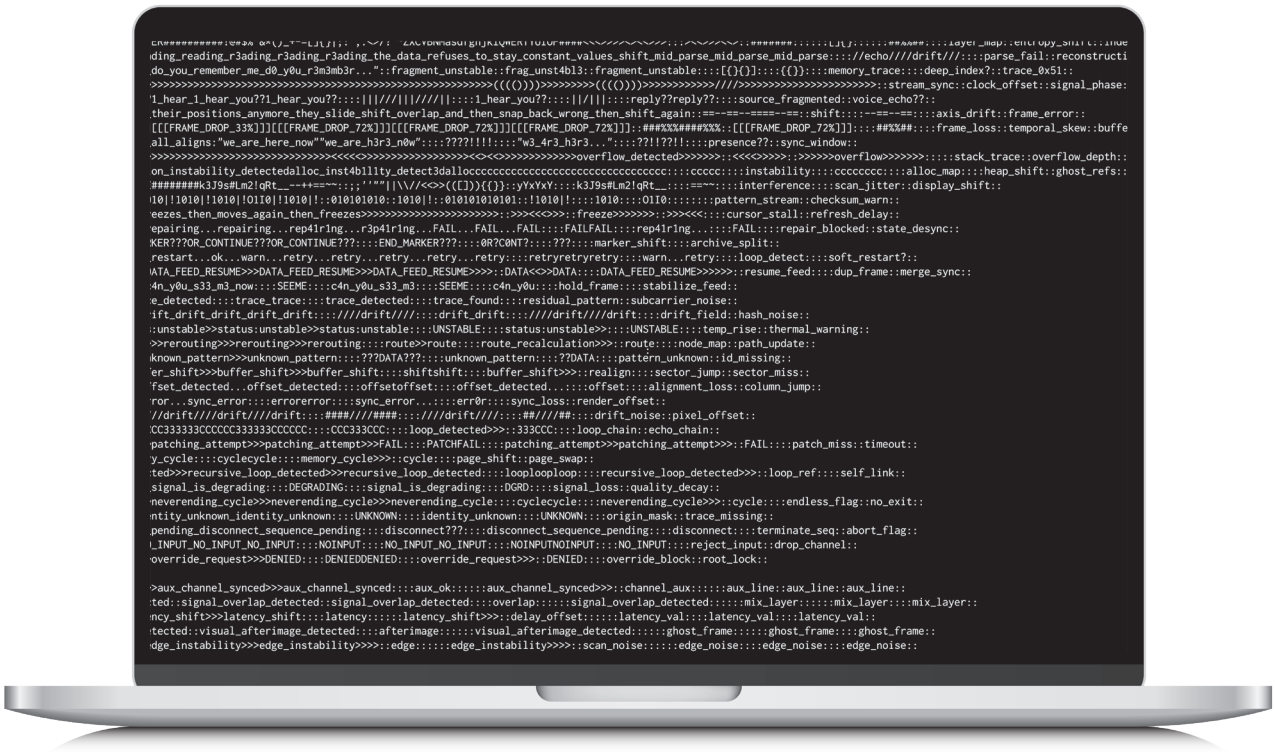
The Device

Deletion happens on the server side. It does not touch the browser or desktop application caches. The browser history held 75 Claude chat URLs with their page titles. The export held 63 conversations. Twelve deleted threads, established by the device, invisible to the vendor record. Content was partially recovered for six. Two were corroborated across the browser storage and the desktop application's separate cache, independent artifact sets telling the same story, which is what survives a reliability challenge. Three preserved chat titles contained Meridian customer names. The device also surfaced what no export could: references to a second, personal Claude account, authenticated on the work laptop on February 14, reachable only through a preservation demand directed at the individual.



The Corporate Logs

The platform's connector calls run through the Microsoft Graph API, and every retrieval performed on the user's behalf is logged in the Microsoft 365 unified audit log: time, user, operation, resource. The log sits on the organization's side of the line. The user cannot delete it. It named thirty-one distinct documents retrieved between January 20 and February 19, including the flagship formulation specification at 21:47, minutes before the deletion window inferred from the browser history, and retrievals of two documents Reyes had access to but had not opened in four years. She deleted the conversations. She could not delete the record of the files the platform touched.



The Prompts

Two clusters told the story. The first, in mid-January, was preparation: can administrators read messages, how long are chats retained, what happens on deletion. Individually, reasonable privacy questions that violate no policy. Together, documented knowledge. The second cluster was the act: Meridian text pasted in, ratios, thresholds, pricing logic, with instructions to restate it as a generalized technical overview and remove the vendor names. Derivative text copied off. No file name, no metadata, no document ID, and the substance intact. It defeats hashing. It defeats fuzzy matching. It defeats most data loss prevention rules. It is still, functionally, the trade secret.

The resolved timeline drew on all four sources, and the flagship formulation appeared in every one of them. No document ever left Meridian. Every document arrived at Calvert, and the proof sat in four different systems. No single layer tells the story. An investigator handed only the vendor export should be asking for the rest.



Preparing For The Next Departure

Set up now. Inventory every Gen AI tool and every connector: which accounts are licensed, at what tier, and what each connects to, because tier determines what can be recovered. Confirm audit logging is on and that retention outlives your matters. Add AI accounts and vendor logs to the litigation hold template as a standing category, not an afterthought written the week the complaint lands.

When someone resigns, the first 48 hours decide the investigation. Image the endpoint before it is wiped or reissued: the client-side caches are the only layer that survives an in-app delete, and they die with the device wipe. Request the vendor export before deletion windows close. Preserve the account before access is revoked. Ask about personal accounts, because a personal account used on a corporate device sits outside the organization's export entirely, and only the endpoint reveals it exists.

Asked in the Q&A for the single first fix, the answer was direct: get the export as soon as possible, and image the device. Asked whether the patterns apply beyond one platform, equally direct: they do. A local application caches locally. A browser caches in the browser. Enterprise-integrated tools write to the corporate logs. The platforms differ in detail. The discipline is the same.

Key Takeaways

Gen AI created an exfiltration path that produces no moved files and no matching hashes. A clean traditional investigation is no longer the end of the question.

The evidence lives in four places: the vendor export, the device caches, the corporate audit logs, and the account settings. Each is incomplete alone. The timeline comes from combining them.

Deletion is not destruction. Server-side deletion does not reach device caches, usage records can outlive deleted activity, and retention tiers determine what can come back.

The first 48 hours decide the investigation. Image the endpoint, request the export, preserve before accessing, and run down personal accounts before the trail to them is wiped.

Preparation is a policy project, not a technology project. Know the tools and tiers in use, confirm audit logging, and put AI accounts into the litigation hold template before the matter that needs them arrives.

About iDS: iDS is an expert-led consulting firm that helps organizations uncover, validate, and interpret digital evidence in high-stakes disputes, investigations, and regulatory matters. The firm supports engagements across discovery, merits, and damages, delivering disciplined analysis and defensible conclusions that withstand scrutiny.

Built on a coordinated bench of experts and supported by structured institutional infrastructure, iDS transforms complex digital records into clarity that strengthens strategy and reduces uncertainty. As disputes become increasingly data-led and AI-influenced, iDS ensures that interpretation remains grounded in expert judgment.

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Who?

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What?

Employees Going Rogue: IP Theft in the Gen AI Era

When?

Available On-Demand

Summary:

- Spot Gen AI-driven IP theft
- Find evidence across key sources
- Recover traces of deleted AI activity
- Preserve evidence in the first 48 hours
- Strengthen AI logging and retention policies

Trusted by leading law firms and Fortune 500 companies from around the world, iDS stands at the intersection of legal acumen and cutting-edge technology. Here, we don't just manage data; we transform it into actionable insights, ensuring compliance, streamlining litigation, and safeguarding your reputation. When the stakes are high and the data vast, industry leaders turn to iDS for consultative expertise, customized solutions, and an efficient process built on accountability, confidence, and trust.

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